

Crime Rate Prediction Using Machine Learning

CS-UY 4563 - Introduction to Machine Learning | Final Project

Dataset: UCI Communities and Crime | Task: Regression

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A. Introduction

Dataset. This project uses the UCI Communities and Crime dataset, sourced from Kaggle. It contains socio-economic, demographic, and law enforcement data for over 2,000 communities across the United States, with roughly 120 features per community. These features cover things like household income, poverty rates, unemployment, education levels, population age groups, and police staffing. The value we are trying to predict is *ViolentCrimesPerPop*, which is the number of violent crimes per 100,000 people, already scaled to a range of 0 to 1.

Prediction task. Given the socio-economic and demographic profile of a community, our goal is to predict its violent crime rate. This is a regression problem. It is worth studying because accurate predictions can help identify which communities are at higher risk, guide decisions about where to allocate public safety resources, and show how poverty and inequality connect to crime.

B. Exploratory and Unsupervised Analysis

Preprocessing. The raw dataset had 2,215 rows and 128 columns. We started by removing the first five columns, which are just identifiers like state name and community code and carry no predictive information. We then dropped any feature column where more than 50% of the values were missing, since there is not enough data in those columns to impute reliably. After that, we removed the small number of rows where the target value itself was missing. For the remaining missing values in other columns, we used median imputation, calculated only from the training set so that information from the validation and test sets does not leak into the model. We applied standard scaling the same way, fitting only on the training data. Finally, we split the data into 70% training, 15% validation, and 15% test before doing any of the above steps, to make sure the splits are clean.

Target distribution. The crime rate variable is heavily right-skewed: most communities cluster near 0.0 to 0.2 on the scale, but a small number have rates close to 1.0, as shown in Figure 1. To deal with this, we applied a $\log(1 + y)$ transformation to the target (that is, $\log(1 + y)$), which compresses the long right tail and produces a more symmetric distribution (Figure 2). This helps all three of our regression models fit the data more evenly instead of being pulled toward extreme outliers.

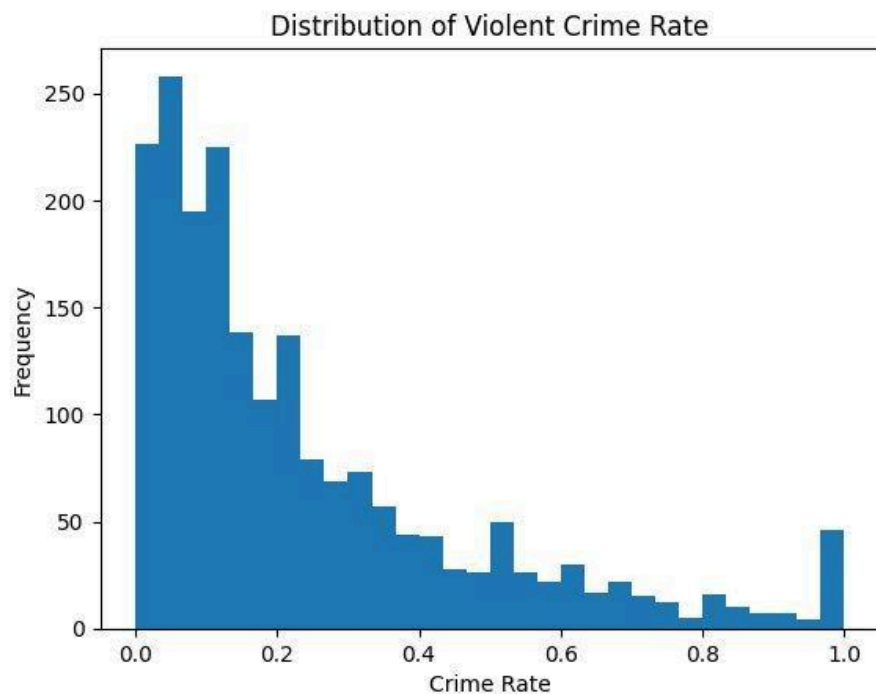


Figure 1. Distribution of ViolentCrimesPerPop across all communities

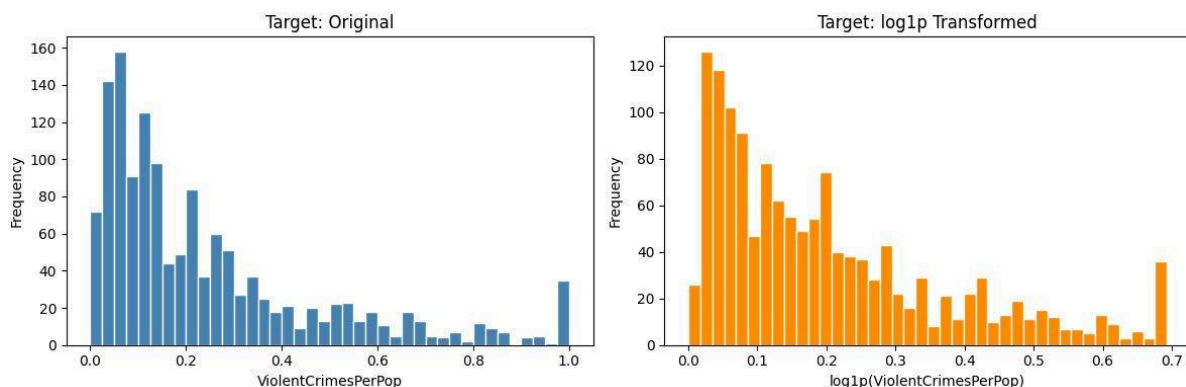


Figure 2. Target distribution before (left) and after (right) log1p transformation

Missing values. Figure 3 shows the distribution of missing data across all feature columns. The vast majority of features had complete or nearly complete data. However, a distinct cluster of approximately 22 columns had over 80% of their values missing. These were removed entirely during preprocessing, as imputing columns with so little real data would introduce more noise than signal.

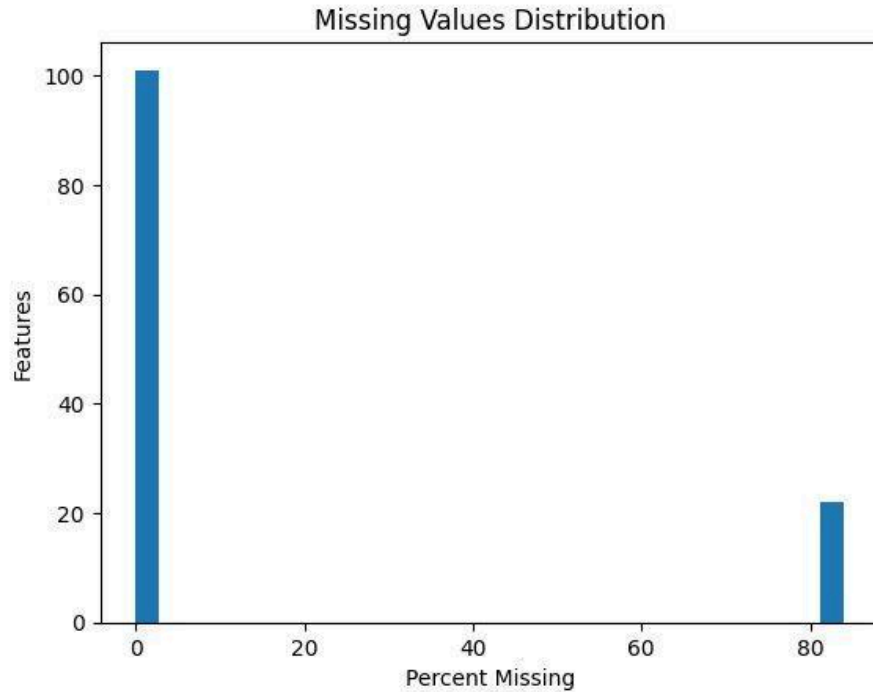


Figure 3. Distribution of missing values across all features

Feature relationships. Figures 4, 5, and 6 show scatter plots for three features that had among the strongest correlations with the crime rate. Features 48 and 49 both show a clear negative relationship: communities with higher values on these features tend to have lower crime rates. Feature 55 shows the opposite, it shows a positive relationship where higher values are associated with higher crime rates. These features likely represent income or wealth indicators (48 and 49) and a poverty or deprivation indicator (55). Importantly, all three scatter plots show curved rather than perfectly straight-line relationships, which is the key motivation for testing polynomial feature transformations in the modeling phase.

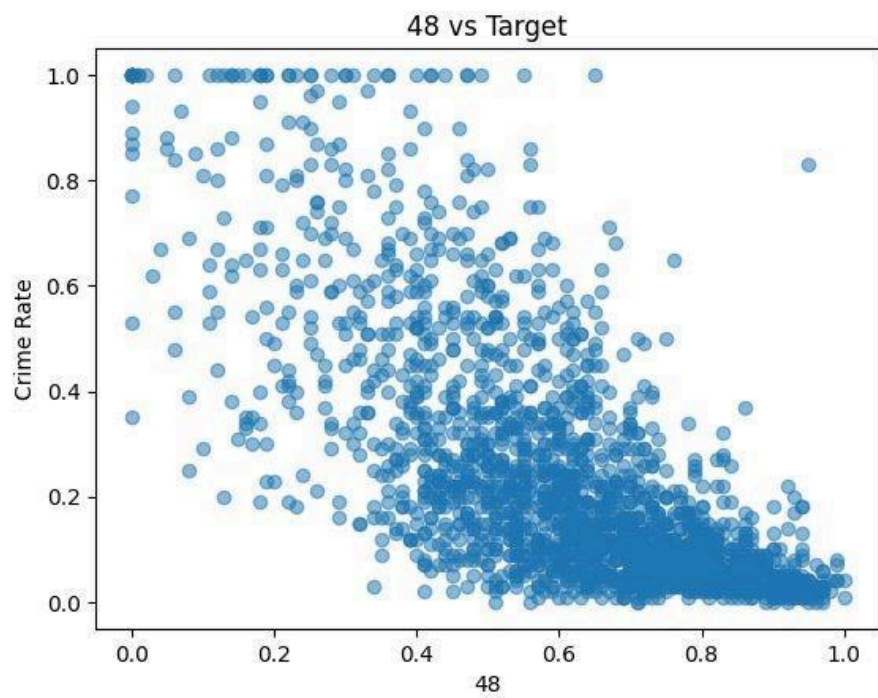


Figure 4. Feature 48 vs. violent crime rate

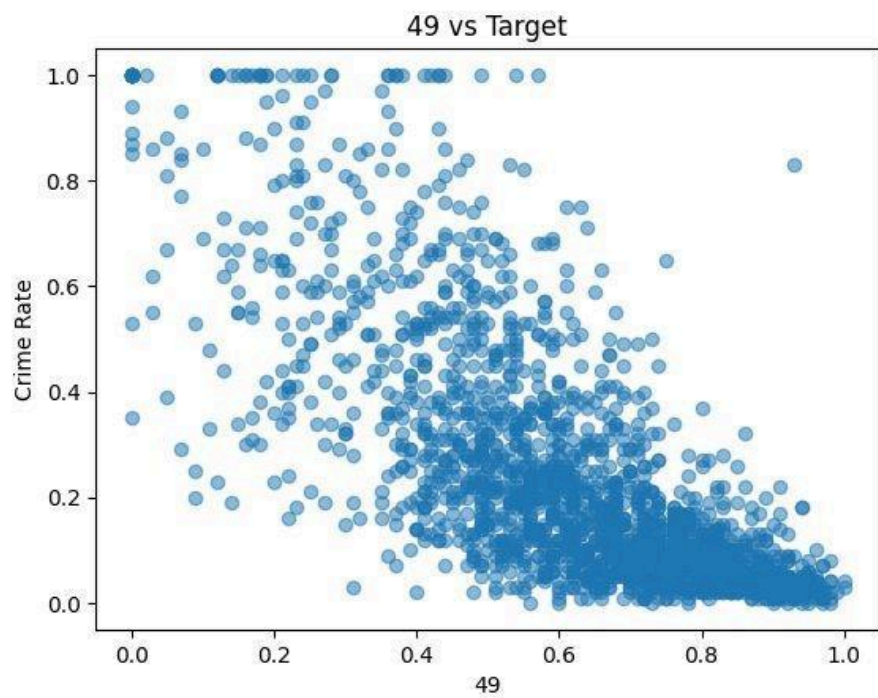


Figure 5. Feature 49 vs. violent crime rate

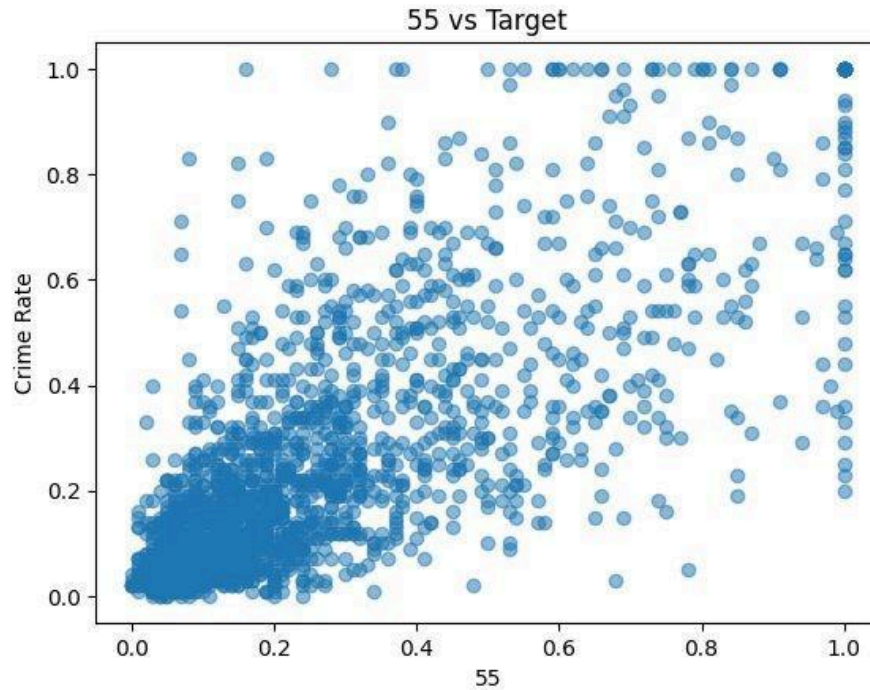


Figure 6. Feature 55 vs. violent crime rate

Multicollinearity. Figure 7 shows a correlation heatmap of the 15 features most strongly correlated with the target. Several features are highly correlated with each other. For example, Features 49, 48, 50, and 51 all show pairwise correlations above 0.90, and Features 45 and 46 are correlated at 0.98. This degree of multicollinearity means Ridge regression may struggle to isolate the individual contribution of each feature, since many of them carry nearly identical information. This is the primary motivation for using PCA as one of our feature transformations, as PCA replaces these correlated features with orthogonal components that do not overlap in the information they carry.

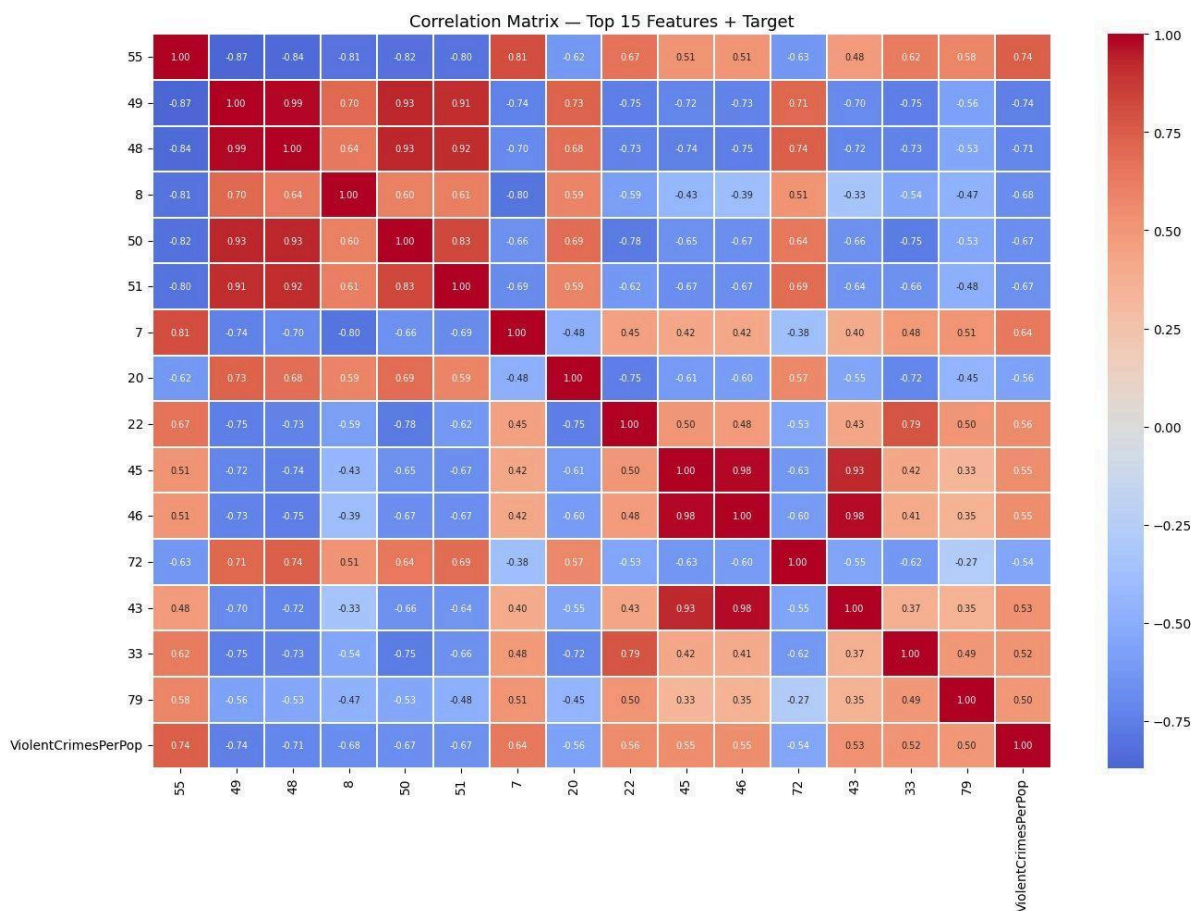


Figure 7. Correlation matrix of the 15 features most correlated with ViolentCrimesPerPop, plus the target. Red indicates positive correlation, blue indicates negative.

C. Supervised Modeling

We trained three different model types: Ridge Regression, a Neural Network, and K-Nearest Neighbors (KNN). For each model, we tested four feature spaces: the original scaled features with no transformation, and three transformed versions. Within each feature space, we tried six different regularization settings. This gives us at least 24 models per approach and 72 models in total across all three approaches. All models were trained on the log-transformed target, and the test set was held out completely until final evaluation.

Approach 1: Ridge Regression

No transformation (baseline). We first ran Ridge directly on the scaled original features. This gives us a performance floor to compare everything else against.

Transformation 1 - Polynomial degree 2. Because the scatter plots in Figures 4–6 showed curved relationships between several features and the crime rate, we created degree-2 polynomial features. This means we added squared versions of each feature (x^2) and all pairwise products between features ($x_i \times x_j$). This lets a linear model like Ridge fit curved patterns without changing the model itself. After this expansion, we re-scaled the features since the polynomial terms have very different magnitudes than the originals.

Transformation 2 - PCA(20) then polynomial degree 3 (chained). Applying degree-3 directly to the full set of features would produce an unmanageable number of terms, so we first reduced the feature space to 20 principal components using PCA, then applied the degree-3 polynomial to those 20 components. This chained step counts as one transformation. It is the most complex of the three Ridge transformations and is expected to need strong regularization to avoid overfitting.

Transformation 3 - PCA (95% variance). We applied PCA and kept enough components to retain 95% of the total variance. This removes the multicollinearity problem visible in Figure 7 by replacing the original correlated features with a smaller set of independent components. We expected this transformation to generalize better than the polynomial ones because it reduces noise rather than adding complexity.

Regularization. Ridge regression controls overfitting through the lambda (λ) parameter, which shrinks the model's coefficients toward zero. A larger lambda means more shrinkage and a simpler model. We tested six values: 0.001, 0.01, 0.1, 1, 10, and 100.

Approach 2: Neural Network

Architecture. We built a fully-connected neural network in PyTorch. The baseline version has one hidden layer with 128 units, as required for the neural network baseline. For all three transformations, the network uses two hidden layers. Each hidden layer applies batch normalization, ReLU activation, and dropout at a rate of 0.2 to reduce overfitting. We trained with the Adam optimizer and used early stopping with a patience of 20 epochs.

No transformation (baseline). One hidden layer (128 units) applied to the scaled original features.

Transformation 1 - Polynomial degree 2. Same reasoning as Ridge: the curved patterns in Figures 4–6 suggest the relationship is nonlinear. The polynomial expansion gives the first hidden layer a richer set of linear combinations to work with before the nonlinear activations are applied.

Transformation 2 - PCA (95% variance). PCA reduces the input to a smaller set of independent components, which shrinks the input layer and removes redundant signal. Feeding in highly correlated inputs as seen in Figure 7 can make gradient-based learning unstable, so decorrelating the features first is expected to help.

Transformation 3 - K-Means cluster distances (k=20). We fit a K-Means model with 20 clusters on the training data, then replaced each community's feature vector with its distance to each of the 20 cluster centers. This gives the network a 20-dimensional representation that reflects which type of community a data point is closest to. Communities naturally group by socio-economic profile, so this transformation is designed to give the network a compact representation that already encodes some of that structure.

Regularization. We used the Adam optimizer's weight decay parameter as our form of L2 regularization. We tested six values: 0.0, 1e-4, 1e-3, 1e-2, 1e-1, and 1.0. A value of 0.0 means no regularization at all, which serves as a reference point for how much the model overfits without any constraint.

Approach 3: K-Nearest Neighbors (KNN)

For our third model we used KNN, used as a regression model as opposed to a classification one, where each prediction is the average of the k nearest neighbors in the training set. Unlike Ridge and the Neural Network, KNN has no explicit regularization parameter. Instead, the number of neighbors k controls the complexity.

No transformation - baseline.

Transformation 1 - Polynomial degree 2. Figures 4-6 suggest a curved or nonlinear relationship, thus the degree 2 polynomial transformation was used. A polynomial model can help KNN see nonlinear or curved relationships if they do exist.

Transformation 2 - PCA 95% variance. The dataset contains many correlated features (figure 7), which can make distance based methods like KNN less reliable. PCA was applied to reduce the feature space while retaining 95% of the total variance. The transformation reduces redundancy and noise, and produces a lower dimension representation.

Transformation 3 - k-means cluster (k=20). Communities may naturally group into clusters based on similar socioeconomic or demographic characteristics. K-means with k=20 was used to capture this structure. This transformation helps KNN by providing a more structured representation of the data.

D. Table of Results

The table below shows the best result achieved per model and feature space, chosen by lowest validation MSE across the six regularization values tested. All MSE values use the log1p-transformed target. The full table including all 72+ individual models and every regularization value is in the executed notebook.

Feature Space	λ	Train MSE	Val MSE	Val R ²	Observation
No Transformation	0.001	0.00841	0.00866	0.677	Tiny gap (0.000247) well-balanced, no overfitting
No Transformation	0.01	0.00841	0.00866	0.677	Identical to $\lambda=0.001$ regularization not yet affecting model
No Transformation	0.1	0.00841	0.00866	0.677	Still negligible change baseline features do not overfit
No Transformation	1	0.00842	0.00866	0.677	Train MSE begins rising slightly mild shrinkage starting
No Transformation	10	0.00847	0.00866	0.677	Train MSE rising further; val MSE stable; slight underfitting
No Transformation	100	0.00879	0.00849	0.684	Best val MSE here; negative gap means mild underfitting but val improved
Polynomial Degree 2	0.001	0.00000	0.05329	-0.986	Train MSE ≈ 0 severe overfitting; model memorized training data
Polynomial Degree 2	0.01	0.00000	0.05325	-0.985	Still massively overfit; val MSE barely changed
Polynomial Degree 2	0.1	0.00000	0.05288	-0.971	Overfitting persists; negative R ² means worse than predicting mean

Feature Space	λ	Train MSE	Val MSE	Val R ²	Observation
Polynomial Degree 2	1	0.00001	0.04962	-0.849	Val MSE improving but still badly overfit; need far more regularization
Polynomial Degree 2	10	0.00025	0.03488	-0.300	Large improvement; gap narrowing regularization finally helping
Polynomial Degree 2	100	0.00178	0.01707	0.364	Best result for Poly-2; still well below baseline R ² of 0.684
PCA(20) + Poly Deg 3	0.001	0.00000	0.19366	-6.218	Extreme overfitting; highest complexity transformation behaves worst unregularized
PCA(20) + Poly Deg 3	0.01	0.00000	0.19166	-6.143	Negligible improvement; model still fully memorizing training data
PCA(20) + Poly Deg 3	0.1	0.00000	0.17545	-5.539	Val MSE declining; regularization beginning to constrain cubic terms
PCA(20) + Poly Deg 3	1	0.00009	0.11710	-3.364	Significant drop; confirms this space needs much stronger regularization than baseline
PCA(20) + Poly Deg 3	10	0.00068	0.04768	-0.777	Still overfit but approaching reasonable territory
PCA(20) + Poly Deg 3	100	0.00235	0.01742	0.351	Best result; comparable to Poly-2 but still below baseline cubic terms did not help
PCA (95% variance)	0.001	0.00958	0.00842	0.686	Negative gap val MSE slightly below train; PCA generalized well immediately
PCA (95% variance)	0.01	0.00958	0.00842	0.686	Identical result PCA feature space insensitive to small λ changes
PCA (95% variance)	0.1	0.00958	0.00842	0.686	Still stable decorrelated features reduce need for heavy regularization
PCA (95% variance)	1	0.00958	0.00842	0.686	No meaningful change confirms PCA handles multicollinearity better than raw features
PCA (95% variance)	10	0.00958	0.00841	0.687	Val MSE improving marginally with more shrinkage
PCA (95% variance)	100	0.00959	0.00834	0.689	Best val MSE and R ² overall for Ridge

Feature Space	λ	Train MSE	Val MSE	Val R ²	Observation
					PCA outperforms all other transformations

Table 1: Ridge Regression results.

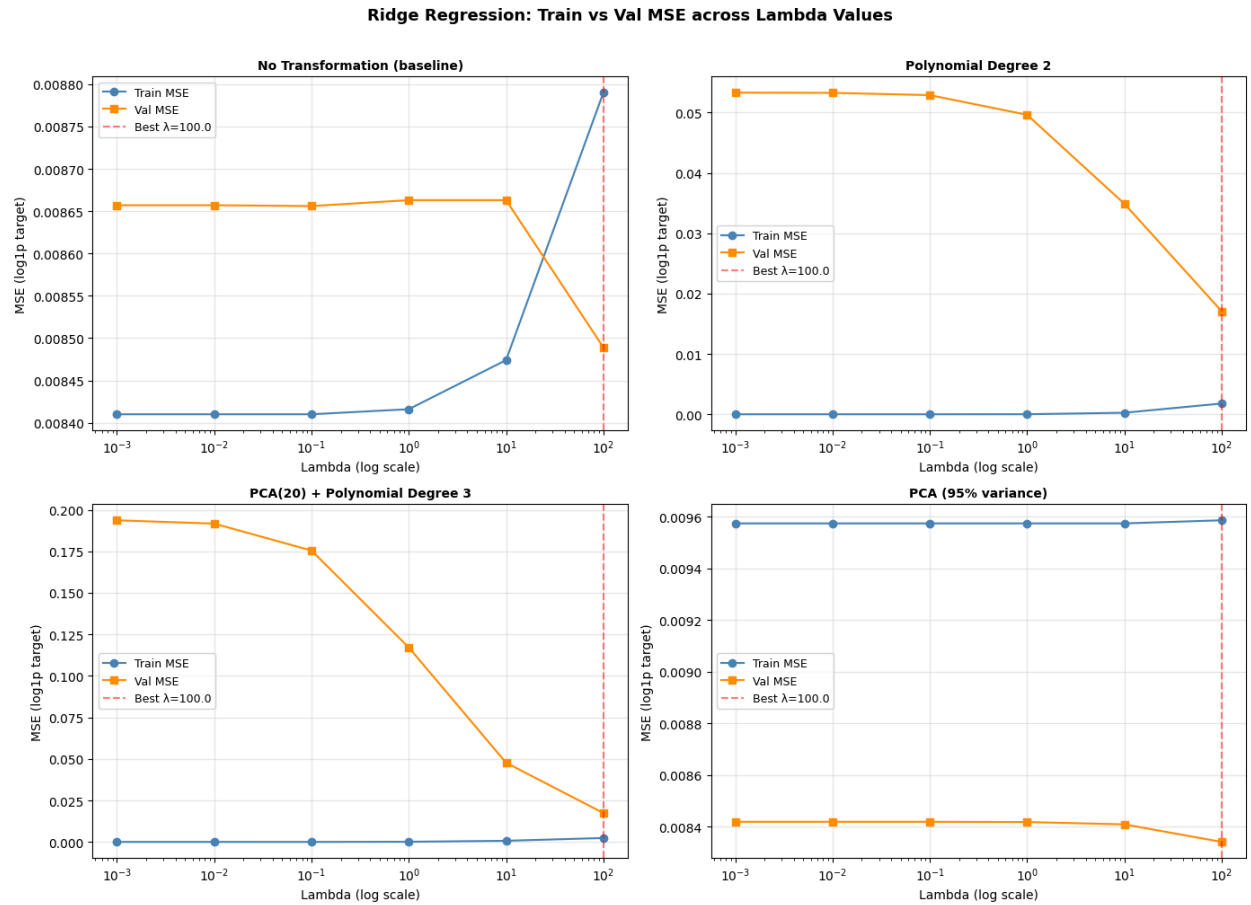


Figure 8: Ridge Regression: training vs. validation MSE across lambda values for all four feature spaces.

Feature Space	Weight Decay	Train MSE	Val MSE	Val R ²	Observation
No Transformation	0.0	0.00681	0.00871	0.675	Small gap (0.00191) mild overfitting without regularization
No Transformation	1e-4	0.00680	0.00868	0.677	Gap narrowing slightly weight decay beginning to help
No Transformation	1e-3	0.00688	0.00860	0.680	Val MSE improving; train rising slightly good regularization direction
No Transformation	1e-2	0.00681	0.00863	0.678	Marginal change; similar to 1e-3

Feature Space	Weight Decay	Train MSE	Val MSE	Val R ²	Observation
No Transformation	0.1	0.00832	0.00855	0.681	Best val MSE; gap near zero well-balanced bias/variance
No Transformation	1.0	0.01081	0.00907	0.662	Val MSE rising too much regularization causing underfitting
Polynomial Degree 2	0.0	0.00454	0.00939	0.650	Gap of 0.00485 overfitting; expanded feature space needs regularization
Polynomial Degree 2	1e-4	0.00357	0.00924	0.656	Train MSE dropped further slightly more overfit, not helping yet
Polynomial Degree 2	1e-3	0.00675	0.00927	0.655	Gap narrowing but val MSE still above baseline transformation not improving results
Polynomial Degree 2	1e-2	0.00547	0.00920	0.657	Small improvement; gap still present
Polynomial Degree 2	0.1	0.00633	0.00908	0.662	Best for Poly-2; still underperforms baseline polynomial expansion did not help NN
Polynomial Degree 2	1.0	0.01004	0.01020	0.620	Both MSEs rising over-regularized; model underfitting
PCA (95% variance)	0.0	0.00777	0.00841	0.687	Tiny gap (0.00064) PCA decorrelation helps generalization immediately
PCA (95% variance)	1e-4	0.00775	0.00837	0.688	Marginal improvement; gap remains small
PCA (95% variance)	1e-3	0.00770	0.00826	0.692	Best val MSE and R ² for NN overall optimal regularization point
PCA (95% variance)	1e-2	0.00718	0.00829	0.691	Slight val MSE increase; still strong performance
PCA (95% variance)	0.1	0.00898	0.00865	0.678	Val MSE rising beginning to underfit
PCA (95% variance)	1.0	0.00906	0.00872	0.675	Over-regularized; both MSEs elevated
K-Means Dist. (k=20)	0.0	0.00936	0.00871	0.675	Negative gap val below train; compact feature space generalizes well
K-Means Dist. (k=20)	1e-4	0.00935	0.00871	0.675	Essentially unchanged

Feature Space	Weight Decay	Train MSE	Val MSE	Val R ²	Observation
					feature space is low-dimensional and stable
K-Means Dist. (k=20)	1e-3	0.00902	0.00841	0.687	Best for K-Means; val MSE dropped small weight decay beneficial here
K-Means Dist. (k=20)	1e-2	0.00954	0.00859	0.680	Val MSE rises slightly; 1e-3 was the sweet spot
K-Means Dist. (k=20)	0.1	0.00936	0.00855	0.682	Still reasonable but below best
K-Means Dist. (k=20)	1.0	0.01236	0.01017	0.621	Over-regularized; both MSEs spike weight decay of 1.0 too strong for 20-dim space

Table 2: Neural Network results.

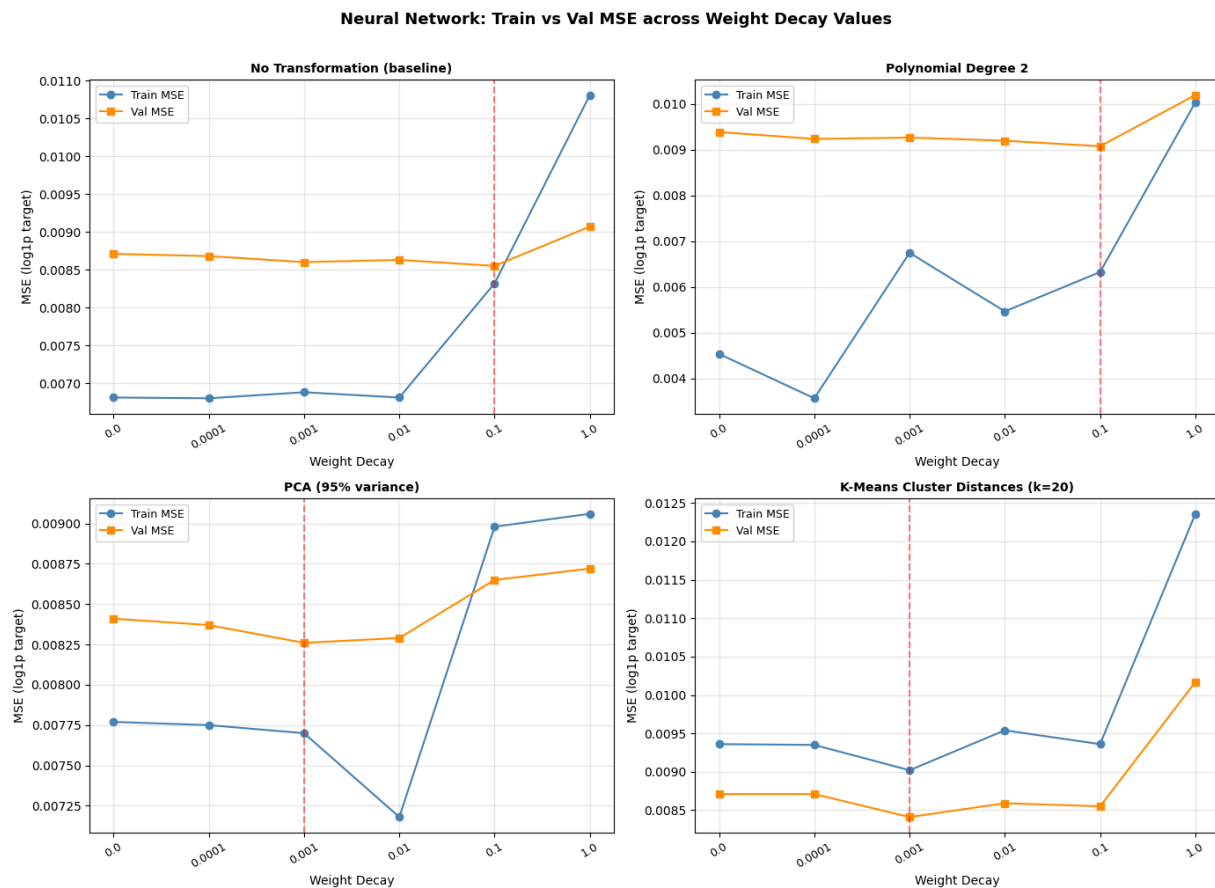


Figure 9: Neural Network - training vs. validation MSE across weight decay values for all four feature spaces.

Model	Feature Space	k	Train MSE	Val MSE	Val R ²	Observation
KNN	No Transformation	1	0.000000	0.018362	0.315639	Overfits heavily; validation error is high.
KNN	No Transformation	3	0.005796	0.010504	0.608493	Validation improves as variance decreases.
KNN	No Transformation	5	0.007436	0.009598	0.642279	Good bias-variance balance.
KNN	No Transformation	10	0.009072	0.009363	0.651026	Strong validation performance.
KNN	No Transformation	20	0.009986	0.009160	0.658585	Best result for the baseline features.
KNN	No Transformation	50	0.011321	0.009556	0.643857	Slight decline; larger k begins to underfit.
KNN	Polynomial Degree 2	1	0.000000	0.017572	0.345094	Perfect train fit but weak validation.
KNN	Polynomial Degree 2	3	0.006365	0.011050	0.588171	Improves from k=1 but remains weaker.
KNN	Polynomial Degree 2	5	0.008222	0.011228	0.581508	Polynomial features do not help here.
KNN	Polynomial Degree 2	10	0.010542	0.011441	0.573592	Higher k does not improve validation.
KNN	Polynomial Degree 2	20	0.013485	0.012701	0.526622	Performance declines; underfitting appears.
KNN	Polynomial Degree 2	50	0.017994	0.015612	0.418122	Worst polynomial result; too much smoothing.
KNN	PCA 95% Variance	1	0.000000	0.017268	0.356399	Still overfits, but slightly better than other k=1 runs.
KNN	PCA 95% Variance	3	0.005781	0.011308	0.578530	Error remains higher than the baseline.
KNN	PCA 95% Variance	5	0.007429	0.009803	0.634631	Competitive result at moderate k.

KNN	PCA 95% Variance	10	0.009003	0.009449	0.647839	Good train-validation balance.
KNN	PCA 95% Variance	20	0.010032	0.009054	0.662539	Best overall KNN result.
KNN	PCA 95% Variance	50	0.011400	0.009522	0.645114	Slight decline from k=20.
KNN	K-Means Dist. (k=20)	1	0.000000	0.022023	0.179204	Worst k=1 result; severe overfitting.
KNN	K-Means Dist. (k=20)	3	0.006721	0.013291	0.504655	Improves but remains weak.
KNN	K-Means Dist. (k=20)	5	0.008362	0.010614	0.604421	Moderate improvement.
KNN	K-Means Dist. (k=20)	10	0.009603	0.010394	0.612604	Smoother predictions help slightly.
KNN	K-Means Dist. (k=20)	20	0.010821	0.010023	0.626435	Best K-Means distance result.
KNN	K-Means Dist. (k=20)	50	0.012072	0.010577	0.605807	Drops from k=20; likely underfitting.

Table 3: KNN results.

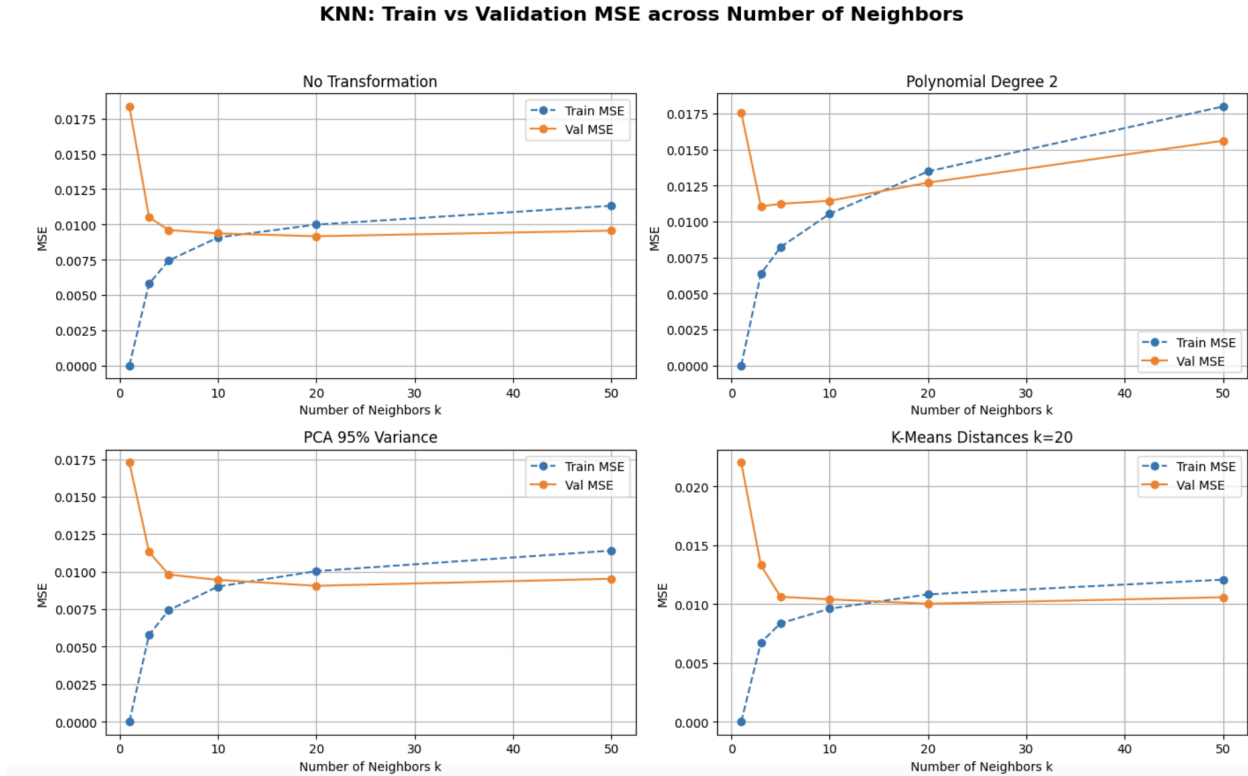


Figure 10 - KNN train MSE vs validation MSE for different feature spaces

E. Conclusion and Analytical Discussion

General findings. Across all three models, the dataset's socio-economic structure was learnable to a meaningful degree. The best overall model was the Neural Network with PCA transformation and weight decay of $1e-3$, achieving a validation R^2 of 0.692. PCA was the most consistently effective transformation across all three approaches. The key challenge throughout was managing the bias-variance tradeoff given the high dimensionality and moderate training size.

Polynomial degree 2. For Ridge, degree-2 features caused catastrophic overfitting at low lambda. Train MSE dropped to near 0 while val MSE was 6x higher than the baseline. Even at $\lambda=100$, the best result was only $R^2=0.364$, far below the no-transformation baseline of 0.684. For the neural network, polynomial features caused persistent overfitting with a gap of 0.005 at all weight decay values, and the best result ($R^2=0.662$) still underperformed the baseline. For KNN, the high dimensionality of the polynomial feature space caused the curse of dimensionality and the transformation actively hurt performance. The scatter plots in Figures 4–6

did show curved relationships, but the polynomial expansion appears to have added more noise than signal, particularly when combined with the existing multicollinearity in the dataset.

PCA (95% variance). PCA was the best transformation across all three models. For Ridge, PCA achieved the best validation result ($R^2=0.689$) and was remarkably insensitive to the choice of lambda. Validation MSE barely changed across all six lambda values, confirming that removing multicollinearity reduced the need for explicit regularization. For the neural network, PCA with weight decay $1e-3$ achieved the best result overall ($R^2=0.692$), with a very small train/val gap of 0.00056, indicating excellent generalization. For KNN, PCA produced the best KNN result ($R^2=0.663$) by reducing redundancy in the distance calculations. The consistent benefit of PCA across all three approaches confirms that the multicollinearity identified in Figure 7 was genuinely harming model performance.

PCA(20) + polynomial degree 3 (Ridge only). As expected, this was the most complex transformation and required the most regularization. At $\lambda=0.001$, the validation R^2 was -6.2 , meaning the model performed far worse than simply predicting the mean. Even at $\lambda=100$, the best result ($R^2=0.351$) was slightly worse than the simpler Poly-2 transformation. The extra complexity added by the cubic terms did not help. The dataset does not appear to have cubic-scale nonlinearities that this transformation could capture.

K-Means cluster distances (Neural Network and KNN). For the neural network, the K-Means transformation performed similarly to the baseline ($R^2=0.687$ vs 0.681), confirming that community cluster membership encodes meaningful structure. The compact 20-dimensional representation was sufficient to capture most of the predictive signal. For KNN, K-Means performed better than raw features ($R^2=0.626$ vs 0.659 for PCA) but was the weakest of the four KNN feature spaces, suggesting the cluster distances did not capture the fine-grained neighborhood structure that KNN relies on as well as PCA components did.

Effect of regularization. For Ridge, the expected U-shape in validation MSE was clearly visible in the Poly-2 and Poly-3 panels of Figure 9. Low lambda caused severe overfitting and increasing lambda steadily improved validation performance, with the best result always at $\lambda=100$. The baseline and PCA panels showed almost no sensitivity to lambda, since those feature spaces had minimal overfitting to begin with. For the neural network (Figure 10), the

PCA panel shows the clearest U-shape: val MSE is low at small weight decay, reaches a minimum at $1e-3$, then rises as the model underfits. For KNN, the $k=1$ case is always severely overfit (train MSE near 0), and increasing k consistently reduces the train/val gap until around $k=20$, after which val MSE begins to rise from underfitting.

Comparing models. On shared transformations (Poly-2 and PCA), the Neural Network consistently matched or outperformed Ridge, confirming that some nonlinear structure exists in the data beyond what a linear model can capture. The gap was largest on PCA: NN achieved $R^2=0.692$ vs Ridge's 0.689. This small but consistent advantage suggests moderate nonlinearity. KNN performed competitively on the no-transform and PCA feature spaces but was hurt by the polynomial transformation in a way that Ridge and NN were not.

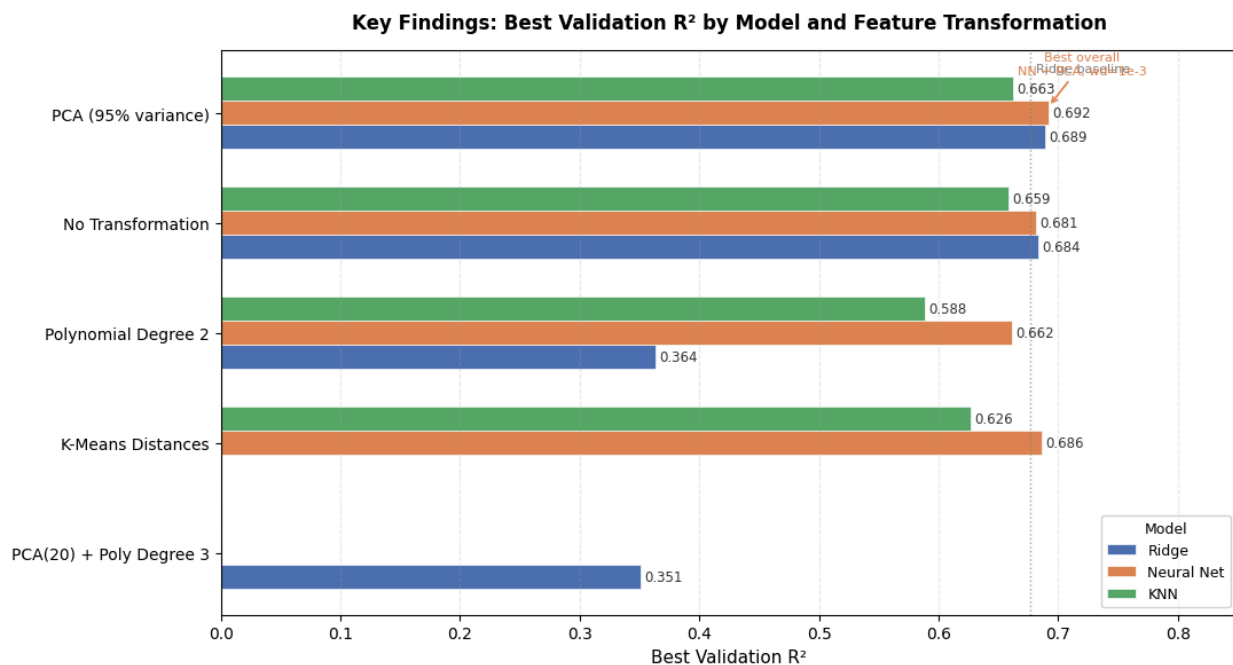


Figure 11: R^2 compared across all models.

Limitations and next steps. The $\log_{1p}$ target transformation improved model performance but makes MSE less directly interpretable in real-world crime rate units. Future work could report mean absolute error in the original scale. The polynomial degree-3 transformation required a PCA pre-step, which may have lost information before the cubic terms were applied. An ensemble combining the predictions of the best Ridge, NN, and KNN models would be a natural

next step. Their different inductive biases could complement each other, particularly since KNN is sensitive to local structure while Ridge and NN capture global trends.